

34. Don't Make Trading Decisions Based on Where You Bought (or Sold) a Stock

The market doesn't care where you entered your position. When Vidich felt that a stock that had just fallen all the way back to where he had bought it was going lower, he just got out, not letting his entry level affect the trading decision.

35. Potential New Revenue Sources That Are More Than a Year Out May Not Be Reflected in the Current Stock Price

Claugus likes to look for situations where a company will recognize new revenue sources one or more years out because such future potential earnings are frequently not adequately discounted, or discounted at all, by the current stock price.

36. Value Investing Works

Greenblatt has demonstrated that value investing works both through a long career as a highly successful trader using value principles and through rigorous computer-based research. The catch is that although value investing works over the long term, there are times when it works poorly. However, as Greenblatt points out, this periodic underperformance is actually the reason why value investing is able to maintain its edge. If it worked all the time, it would attract enough followers so the edge would disappear. Given the inherent long-term character of the efficacy of this